Return on Total Assets

The first ratio one should check is the return on total assets. This is an extremely important indicator as it would help the investor determine:

- Whether the company has earned a reasonable return on its sales.
- Whether the company's assets have been effectively and efficiently used, and
- Whether the cost of the company's borrowings are too high.

This ratio should be used to compare the performance of a company with other companies within the same industry, and with previous years. It could also be used to project the performance of future years:

$$ROA = \frac{\text{Net income after tax}}{\text{Average total asset}}$$

Illustration

Nair Limited is a company engaged in the manufacture of refrigerators and washing machines.

	Year-1	Year-2	Year-3
	Rs. (lakh)	*Rs. (lakh)*	*Rs. (lakh)*
Net income after tax	300	400	600
Total assets	5,000	7,000	11,000

The return on total assets are as follows:

$$\text{Year-2} \quad \frac{400}{0.5 \times (5{,}000 + 7{,}000)} = 6.67\%$$

$$\text{Year-3} \quad \frac{600}{0.5 \times (7{,}000 + 11{,}000)} = 6.67\%$$

Although net income has improved by 50%, the company's profitability has not improved since its average assets have also increased by 50%.